VINEYARD CITY

FISCAL AND LEGAL IMPACT STATEMENT REGARDING THE PETITION FOR REFERENDUM TO REPEAL VINEYARD CITY RESOLUTION 2025-15, WHICH AUTHORIZES THE ISSUANCE OF SALES AND FRANCHISE TAX REVENUE BONDS TO FINANCE THE CONSTRUCTION OF A NEW VINEYARD CIVIC CENTER

April 27, 2025

Background

On April 3, 2025, the Vineyard City Council approved Resolution 2025-15, a bond parameters resolution authorizing the City's Designated Officer to issue up to $35,000,000 in sales and franchise tax revenue bonds for the purpose of financing the design, construction, furnishing, and equipping of a new Vineyard Civic Center, a shared facility for Vineyard City and the Mountainland Association of Governments (MAG).

Resolution 2025-15 establishes parameters regarding bond terms, interest rates, security, and conditions for issuance, but it does not itself obligate the City to finalize or proceed with the bond issuance until further action is taken.

As currently planned, the Vineyard Civic Center will be constructed on donated land along the Vineyard Downtown Promenade, and will include administrative offices, council/board chambers, public meeting space, and community-serving facilities, supporting both municipal and regional planning functions.

On April 7, 2025, ten (10) Vineyard residents applied to refer Resolution 2025-15 to the voters pursuant to Utah Code § 20A-7-602. The applicants seek to repeal the resolution.

Pursuant to Utah Code § 20A-7-602.5, the City's budget officer and legal counsel are required to prepare an unbiased, good-faith estimate of the fiscal and legal impact of repealing the law that the referendum proposes to repeal. This document constitutes Vineyard City's initial fiscal and legal impact statement for purposes of the referendum application. It was prepared by the City's in-house budget officer Kristie Bayles and City Attorney Jayme Blakesley from the law firm Hayes Godfrey Bell, P.C.

Statutory Summary of Potential Fiscal and Legal Impacts

Repealing Resolution 2025-15 could delay or cancel the Vineyard Civic Center project, resulting in the potential loss of donated land valued at $3.54 million, and increase costs due to construction inflation, leasing, redesign, and bond market volatility. Potential fiscal impacts could range from $7.1 million to $10.8 million, excluding interest rate changes. Legal risks could include exposure to litigation, loss of regional partnerships, damage to the City's credit rating,

and disruption of downtown development plans. The full extent of impacts is fact-dependent, but the potential consequences are significant and could adversely affect the City's financial position, operations, and growth plans.

Legal Impact

Resolution 2025-15 authorizes the issuance of sales and franchise tax revenue bonds in an amount not to exceed $35,000,000 for the purpose of financing the construction of a new Vineyard Civic Center. It establishes parameters related to bond terms, interest rates, repayment sources, and procedural safeguards for issuance. While the resolution does not obligate the City to proceed with final issuance until subsequent action is taken, it confers significant legal authority to the City's Designated Officer to initiate bond issuance in accordance with the adopted parameters.

In the legal opinion of the City Attorney, Resolution 2025-15 constitutes a legislative act under Utah law and is subject to referendum. This conclusion is based on Utah Supreme Court precedent—particularly *Carter v. Lehi City*,[1] *Keigley v. Bench I*[2] *and II*,[3] and their progeny—which hold that bond authorization resolutions involving generally applicable policies and the weighing of broad public interests are legislative in character.[4]

If Resolution 2025-15 is successfully repealed by referendum, the legal impacts may include:

1. *Delay or Cancellation of Bond Financing for the Vineyard Civic Center Project* – The repeal would eliminate current legal authority for the issuance of bonds under the approved parameters. As a result, the City would be unable to proceed with bond financing of the proposed Vineyard Civic Center unless and until a new resolution is adopted and survives the referendum process.

2. *Loss of Donated Property for the Vineyard Civic Center* – The Vineyard Civic Center project is planned on land that was donated to the City under the expectation that the project would move forward on its present schedule. If the referendum succeeds and the resolution is repealed, there is a significant risk that the land donation could be rescinded, resulting in the permanent loss of the property and the opportunity to develop the Vineyard Civic Center along the Vineyard Downtown Promenade.

[1] 2012 UT 2, 269 P.3d 141.
[2] 90 Utah 569, 63 P.2d 262 (1936).
[3] 97 Utah 69, 89 P.2d 480 (1939).
[4] In his Determination Letter dated April 27, 2025, the City attorney acknowledged that "while it is possible to distinguish Resolution 2025-15 from the ordinance considered by the Utah Supreme Court in *Keigley II*, such distinction would invite litigation. For this reason, before issuing this determination, [he] consulted with the City Council to ensure a shared understanding of the legal framework and the potential for litigation. [Based on input from the City Council, the City Attorney issued a determination that would] avoid litigation and, instead, allow the referendum process to continue."

3. *Exposure to Contractual Liability* – Depending on the timing and scope of City commitments, a repeal could interfere with pre-referendum negotiations, contracts, or procurement processes initiated in reliance on the resolution. This may result in breach-of-contract claims, loss of negotiated terms, or increased costs to renegotiate or rebid future phases of the project.

4. *Bond Market and Credit Implications* – A voter repeal of a duly adopted bond parameters resolution may be viewed by credit rating agencies or the municipal bond market as a sign of political or financial instability. This could impair the City's bond rating or increase borrowing costs in future issuances, not limited to this project.

5. *Chilling Effect on Intergovernmental or Public-Private Partnerships* – The repeal could also damage the City's reputation and reliability as a development partner, potentially jeopardizing existing or future collaborations with regional planning organizations, funding agencies, or private-sector partners.

6. *Potential Litigation* – While the parameters resolution does not by itself obligate the City to incur debt, its repeal could give rise to litigation if affected parties assert reliance interests, procedural irregularities, or damages arising from the City's inability to perform under expected agreements.

In summary, the successful repeal of Resolution 2025-15 could substantially delay or complicate the City's efforts to advance the Vineyard Civic Center project, result in the loss of donated property, and increase the risk of higher future costs or potential litigation. It may also affect the City's financial standing, development partnerships, and project momentum. While the extent of legal liability and fiscal impacts is uncertain and fact-specific, the potential consequences warrant careful consideration.

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Fiscal Impact

Below are the estimated fiscal impacts if Resolution 2025-15 were to be repealed. These calculations utilize the following estimated costs:

Total Estimated Current Construction Cost:	$28,000,000
Less City and MAG upfront contributions:	(11,000,000)
Sub-Total:	17,000,000
Plus Estimated Bond Issuance Costs:	298,963
Less Estimated Original Issue Premium:	(533,253)
PAR Amount of Bonds Anticipated 4/2025	$16,765,000[5]

Bond Issuance Matters

With the referendum, bond issuance will be delayed by a minimum of five to six months and will result in an estimated increase of transactional costs of approximately $50,000 for preparation, review and adoption of additional financial and legal documents.

Additionally, during the intervening time frame there will be continued market uncertainty surrounding the tax-exempt status currently provided for municipal bonds which has been proposed to be eliminated as a budget item. While there is no way to gauge the probability of this event, it has been discussed more seriously than historically. If tax-exemption were to be eliminated, it would mean an increase in interest expense on local government debt in the range of 1% to 2%. On the currently estimated par amount of bonds for Vineyard's bonds this could result in additional interest expense to fund the Vineyard Civic Center of $1.5 million to $3 million.

Ten and twenty-year tax-exempt bond rates in October 2024 were 2.97% and 3.54% respectively[6]. Today, six months later, those same tax-exempt benchmark rates are 3.44% and 4.25%, an increase of 47 basis points for the ten-year spot and 71 basis points for the 20-year rate. Market volatility has been heightened recently. Every basis point in market fluctuations results in a net present value difference of $15,522, therefore an increase in rates of 10 basis points (0.10%) would cost the City $150,522 and a decrease in rates the corresponding savings. In a volatile market where the past seven weeks have seen more outflows of bondholder funds, the course of action recommended by the City's public finance advisors from LRB Public Finance Advisors, Inc. (LRB) is to prepare bonds for the market and plan for some flexibility to

[5] Bond Parameters resolution was set to allow for bonds to be issued in a par amount up to $35,000,000, to (i) provide room while MAG determined its equity position and (ii) provide for flexibility to include some leasable commercial space if desired. Current plans account for $8M in MAG equity payment and have significantly reduced leasable commercial space. Estimated bond issuance needed is now $16,765,000 but won't be finalized until bonds are priced.

[6] As published on market days by Thompson Reuters MMD Tax-exempt Yield Curves for 10-25-24 and 4-24-25.

adjust pricing date to avoid selling when the market is taking a hard hit. This flexibility would be significantly impeded by a referendum delay.

Construction Related Matters

Also, with the referendum construction will be delayed. This is likely to cause several additional cost implications. While there are third-party reports that can support construction cost inflation in Utah of ~6%, even calculated based on a moderate inflation rate of 2.5% the cost of construction a year from now would mean the need to fund an additional $700,000 to construct the same building. Compounded over a five-year period the increase in construction expense could easily exceed $3.68 million if construction is delayed for that long.

Given that the City needs more office space than it currently has, some City employees are already being housed in rented office space at a cost of $6,527 per month, with a three-percent annual increase. With a six-month delay in commencing construction those lease payments would need to extend for at least those additional six months for a total minimum added cost of $39,163. The City is not gaining any equity in any facility it is leasing. Given current growth projections in Vineyard, if the construction of the project is delayed by three to five years, the City will need to lease additional space at an average cost of $150,695. If the City were required to continue leasing space for an additional five years, the total minimum cost would be $753,363.

A significant delay in the construction start date could result in the loss of the MAG as a partner in the new Vineyard Civic Center. MAG would likely need to pursue its own space elsewhere. Loss of this partnership will result in a reduced ability to have a partner sharing design and construction expenses and paying for part of the shared space (i.e. council / meeting room space, common areas). This could result in an added expense (aka cost) to the City of approximately $1,500,000. Additionally, the City would need to pay additional architectural and engineering expenses estimated at $1,300,000 as the need to redevelop plans would be necessary without MAG. Repealing Resolution 2025-15 could delay or cancel the Vineyard Civic Center project, result in the potential loss of donated land valued at $3.54 million, and increase costs due to construction inflation, leasing, redesign, and bond market volatility. Potential fiscal impacts could range from $7.1 million to $10.8 million, excluding interest rate changes. Legal risks could include exposure to litigation, loss of regional partnerships, damage to the City's credit rating, and disruption of downtown development plans. The full extent of impacts is fact-dependent, but the potential consequences are significant and could adversely affect the City’s financial position, operations, and growth plans..

There is a high likelihood that the current plan for a developer to donate land for the Vineyard Civic Center will be lost. The real property is in a prime location and the developers aren’t willing for that land to remain vacant for long. The loss of this donated land is a direct cost of $3,540,000 and the City will need to find other real property that it will need to purchase to build the Vineyard Civic Center.

Summary Table

The following is a line-item summary of the estimated fiscal impacts from repealing the parameters resolution:

- **Estimated Minimum One-Time Costs** (excluding Construction Delay Elements)**:**
  - Estimated Election and Noticing Costs: $12,000
  - Estimated Additional Legal and Other Professional Support Costs: $50,000
  - **Total Estimated One-Time Costs: $62,000**

- **Estimated Construction Delay and Real Property Costs:**
  - Estimated Construction Increase: $700,000 to $3,680,000 (depending on length of delay)
  - Estimated Loss of Donated Land: $3,540,000
  - Estimated Loss of Shared Space costs by MAG: $1,500,000
  - Estimated Redesign Engineering/Architectural: $1,300,000
  - Estimated Leasing of office space $39,163 to: $753,362 (depending on length of delay)
  - Estimated Transactional Costs: $50,000
  - **Total Estimated Construction Delay Costs: Range of $7,129,163 to $10,823,363 (depending on the length of delay)**

The costs detailed in this Fiscal Impact Summary do not account for any possible changes in interest expense. While changes in interest are real costs, they are difficult to accurately predict.